# WAVERLEY GATEWAY GUIDE

*Connecting International Capital with Emerging & Frontier Markets*

# CAMBODIA

Asia

*Information current as of October 2026*

Dialogue | Trust | Partnership

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## WHERE AND HOW TO ENTER

### KEY INVESTMENT LOCATIONS

| Location / Region | Strategic Importance | Priority Sectors |
|---|---|---|
| Phnom Penh | Capital and commercial centre, now served by Techo International Airport, which opened in September 2025; hosts one SEZ and six industrial parks | Financial services, logistics, light manufacturing, retail, real estate |
| Sihanoukville (Preah Sihanouk province) | Cambodia's deep-sea port and main maritime gateway, with six special economic zones serving export manufacturers | Port logistics, export manufacturing, tourism |
| Svay Rieng / Bavet (Vietnam border) | Cambodia's densest SEZ cluster, with 12 zones on the main road corridor between Phnom Penh and Ho Chi Minh City | Garments, footwear, travel goods, electronics assembly |
| Kandal and Kampong Speu (Phnom Penh periphery) | Fast-growing industrial belt hosting SEZs and industrial parks close to the capital's labour pool and airport | Manufacturing, warehousing, agro-processing |
| Siem Reap | Home of Angkor and the heart of Cambodia's tourism economy, positioned for recovery as visitor flows rebuild | Tourism, hospitality, cultural and eco-tourism |
| Funan Techo Canal corridor (Mekong to the coast) | Planned $1.7 billion waterway linking the Mekong to the sea, with completion targeted for 2028, to lower freight costs and route more trade through Cambodian ports | Inland logistics, river ports, construction |
| Banteay Meanchey / Poipet and Koh Kong (Thailand border) | Border provinces with three SEZs each; trade has been reduced by the border dispute, leaving capacity ready for a recovery once normal crossings resume | Cross-border trade, logistics, manufacturing |

### INVESTOR ENTRY ROUTES

- Council for the Development of Cambodia (CDC), the national investment authority, offering one-stop online registration with ministry review within 20 working days
- Law on Investment (October 2021) providing Qualified Investment Project (QIP) incentives: an income tax exemption of three to nine years or special depreciation of up to 200%, plus VAT and export-tax relief
- Statutory guarantee that investors may freely buy foreign currency and transfer capital, profits, dividends and sale proceeds abroad through authorised banks, in a highly dollarised economy with a broadly stable riel

- Special Economic Zones (34) and industrial parks (23) with operating factories at end-2025, offering serviced land and customs facilitation for export-oriented manufacturing
- Preferential market access through RCEP and bilateral free trade agreements with China, South Korea and the UAE, alongside the October 2025 Agreement on Reciprocal Trade with the United States
- Joint ventures and long-term leases with Cambodian partners for land-based projects, as land ownership is reserved for Cambodian nationals

### MARKET-ENTRY OBSERVATION

Cambodia in October 2026 combines a strong investment track record with a manufacturing base that continues to expand. GDP grew 5.3% in 2025, exports rose 14.7% to $30.15 billion and total trade reached $64.03 billion. The CDC approved a record $10 billion of investment across 630 projects in 2025, up 45% year-on-year and expected to create some 438,000 jobs, with manufacturing taking 56% and infrastructure 38%. Momentum has continued into 2026, with $5.45 billion approved across 346 projects in January–August and total trade of $58.48 billion in the first nine months, including double-digit growth with ASEAN (+16%) and the EU (+14%). The 2021 Law on Investment, a widening network of 57 SEZs and industrial parks, Techo International Airport and a growing set of free trade agreements underpin Cambodia's ambition to move up the manufacturing value chain.

Cambodia's main challenge in 2026 is a set of overlapping external shocks that have slowed services while industry keeps growing. Higher global energy prices, the border dispute with Thailand, weaker tourism and a softer property market have led the IMF to project growth of 3% in 2026 (the National Bank of Cambodia expects 3.9%) and inflation of 5.6%, after 2.5% in 2025. The policy response has been prompt: a government support package of about $1.2 billion for households and businesses, $250 million of emergency ADB support, and the redeployment of returning migrant workers into domestic jobs. Reserves remain adequate at about eight months of imports, foreign investment has stayed strong and the riel has been broadly stable. The IMF expects growth to recover in 2027, giving investors who enter now an opportunity to build positions ahead of the upturn and of Cambodia's scheduled graduation from Least Developed Country status in 2029.

## INVESTOR RISK & MARKET ACCESS

### KEY ENTRY BARRIERS

| Issue | Potential Impact | Possible Mitigation |
|---|---|---|
| Thailand border dispute | Clashes in July and December 2025 were followed by a December 2025 ceasefire that has largely held, but most land trade with Thailand remains restricted and bilateral trade fell sharply in H1 2026 | Route supply chains via Sihanoukville and the Vietnam corridor; border-zone capacity offers upside once normal crossings resume |
| Online scam networks and sanctions exposure | The US and UK sanctioned 146 entities linked to Prince Group in October 2025, and scam activity has affected Cambodia's reputation and tourism | Apply enhanced due diligence and sanctions screening of partners, landlords and banks; the crackdown is improving the environment for compliant investors |
| Concentration on the US export market | The US took around 43% of exports in 2025; an October 2025 agreement cut the reciprocal tariff from 49% to 19%, with 1,875 tariff lines duty-free | Diversify sales through RCEP, the EU and bilateral FTAs, where trade is growing at double-digit rates |
| Electricity costs and grid reliability | AMRO notes that high electricity costs and grid reliability challenges could slow the move into higher value-added manufacturing | Factor energy into site selection; growing approvals in renewable energy create opportunities in captive and utility-scale supply |
| Property and banking asset quality | A softer property market has raised non-performing loans, and one bank was placed under provisional administration in September 2026 | Work with well-capitalised international and regional banks; the National Bank of Cambodia's early intervention supports system stability |
| Legal predictability and land tenure | Land ownership is reserved for Cambodian nationals and contract enforcement can be slow | Use QIP registration, long-term leases, international arbitration clauses and experienced local counsel |
| Graduation from LDC status in 2029 | Graduation will phase out some least-developed-country trade preferences after 2029 | Bilateral FTAs, RCEP and productivity gains provide a pathway to remain competitive; early investors can plan for |

| Issue | Potential Impact | Possible Mitigation |
|---|---|---|
| | | the transition |

### INVESTOR RISK NOTE

Cambodia's risk profile reflects an export-manufacturing economy with strong investment momentum, adequate reserves and a clear growth strategy, temporarily slowed by external shocks. The 2026 slowdown is concentrated in tourism, construction and property, while garments, non-garment manufactures and agricultural exports continue to grow and record investment approvals point to a deep project pipeline. The Thailand border dispute has been contained by a ceasefire since December 2025, and trade has been redirected through Sihanoukville and the Vietnam corridor. Investors should treat sanctions and anti-money-laundering compliance as a core requirement: the US and UK designated 146 Prince Group-linked entities in October 2025, so thorough screening of counterparties, property owners and banking partners is essential and should be handled with qualified legal and sanctions counsel. With these safeguards in place, Cambodia offers open capital repatriation, generous QIP incentives and a cost-competitive base for regional manufacturing, with the IMF expecting growth to recover in 2027.

### MARKET ACCESS

Cambodia is a member of ASEAN and the WTO and a party to the Regional Comprehensive Economic Partnership (RCEP), the world's largest trading bloc, which links it to China, Japan, South Korea, Australia, New Zealand and its ASEAN partners. It has bilateral free trade agreements with China, South Korea and the UAE, and in October 2025 signed an Agreement on Reciprocal Trade with the United States, its largest export market, which took about 43% of exports in 2025. Vietnam, China, Japan and Canada follow as leading destinations, while trade with ASEAN and the EU grew 16% and 14% respectively in January–September 2026. Goods move by sea through Sihanoukville, by road to Vietnamese ports via Bavet, and by Mekong waterway, with the Funan Techo Canal set to add a direct inland-to-coast route by 2028.

## WHO SHOULD THE INVESTOR MEET?

### INSTITUTIONAL LANDSCAPE

| Actor | Why It Matters | Waverley Engagement Angle |
|---|---|---|
| Office of the Prime Minister (Hun Manet) | Sets national economic strategy under the Pentagonal Strategy, including industrial upgrading, infrastructure and diversification | Primary reference point for Cambodia's strategic direction and flagship projects |
| Council for the Development of Cambodia (CDC) | National investment authority; registers and approves Qualified Investment Projects and oversees SEZs | Standard first point of contact for market entry and incentive applications |
| National Bank of Cambodia (Governor Chea Serey) | Central bank and banking supervisor; manages the riel in a largely dollarised system | Relevant for banking partners, currency matters and financial-sector entry |
| Ministry of Economy and Finance (Deputy Prime Minister Aun Pornmoniroth) | Leads fiscal policy, the 2026 support package and public investment, including partnerships with development banks | Key counterpart for tax, infrastructure and public–private projects |
| Ministry of Commerce | Negotiates and implements trade agreements, including RCEP, bilateral FTAs and the US reciprocal trade agreement | Relevant for export market access, rules of origin and trade facilitation |
| Sihanoukville Autonomous Port | Operator of Cambodia's deep-sea port and central to export logistics | Key counterpart for port, logistics and SEZ-linked investment |
| Ministry of Mines and Energy | Oversees power-sector policy and the expansion of renewable generation | Relevant for energy investment and for securing reliable supply to industrial projects |

## CURRENT INTERNATIONAL BUSINESS CHANNELS

EuroCham Cambodia, the American Chamber of Commerce in Cambodia and the British Chamber of Commerce Cambodia are the leading international business associations, alongside the Cambodia Chamber of Commerce for domestic business liaison. The US-ASEAN Business Council maintains an active Cambodia programme, and the government's long-standing Government–Private Sector Forum provides a channel for raising regulatory issues. The Asian Development Bank, World Bank Group (including IFC) and other development partners are active in energy, infrastructure, finance and skills, and are useful co-financing partners. Garment and footwear manufacturers' associations and established SEZ developers are valuable sources of practical intelligence on labour, logistics and compliance.

## INVESTOR PROFILE BEST SUITED

Cambodia suits investors seeking a cost-competitive, open manufacturing base within ASEAN and RCEP: garment, footwear, travel-goods and electronics producers diversifying regional supply chains through the SEZ network; logistics and infrastructure investors drawn by Sihanoukville, the Vietnam corridor and the Funan Techo Canal; renewable-energy developers responding to industrial power demand; and agribusiness and food-processing investors building on growing agricultural exports. Tourism and real estate investors with a longer horizon can position for recovery, while all investors should apply rigorous counterparty due diligence.

## FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the CDC and register as a Qualified Investment Project
Use the CDC's one-stop online registration to secure QIP status and choose between income tax exemption and special depreciation incentives.

STEP 2: Select a location within the SEZ network
Compare SEZs around Sihanoukville, the Vietnam border and Phnom Penh for logistics, power supply and labour access before committing.

STEP 3: Build sanctions and anti-money-laundering screening into due diligence
Screen partners, landlords and banks against US, UK and EU sanctions lists with qualified counsel, given the 2025 designations linked to scam networks.

STEP 4: Design market access around RCEP and bilateral FTAs
Map rules of origin under RCEP, the China, Korea and UAE agreements and the US reciprocal trade agreement to diversify export markets.

STEP 5: Plan for the 2027 recovery and 2029 LDC graduation
Phase investment to capture the expected rebound and align supply chains with the post-graduation trade framework.